

TABLE 1
REVISED BCD RATES
FOR IFPD COMPONENTS

Interactive Flat Panel Displays (IFPDs)	BCD Rate (Budget 2025-26)
CBU	20%
Flat panel display module	15%
PCBA of IFPD	15%
Open cell for flat panel display module with or without touch	5%
Touch glass sheet	5%
Touch sensor PCB	5%

12 other critical minerals, down from 5%. This is expected to lower production costs for industries dependent on these materials. “This move aligns with India’s vision for a circular economy, fostering investment in battery recycling and EV supply chains,” says Rajesh Gupta, Founder and Director of Recyclekaro.

Additionally, 35 items related to electric vehicle (EV) battery production and 28 used in mobile battery manufacturing were made duty-free, including capital goods essential for lithium-ion battery production. With lower costs, India is looking at more affordable EVs, the industry at higher adoption, and the job market at massive employment opportunities.

The tariff rate on alternating current (smart) electricity meters and luminaries, including lighting fittings, was reduced from 25% to 20%, effective 1st May 2025.

Meanwhile, amendments to the Customs (Import of Goods at Concessional Rates or For Specified End Use) Rules, 2022, extended the end-use compliance period from six months to one year and allowed quarterly statement filings instead of monthly ones.

MeitY at the heart of India’s electronics ecosystem

The Ministry of Electronics and

TABLE 2
ALLOCATION FOR MeitY

Category of Allotment	Actual 2023-24 (₹ billion)	Budget 2024-25 (₹ billion)	Revised 2024-25 (₹ billion)	Budget 2025-26 (₹ billion)	Change (%)
Promotion of electronics and IT hardware manufacturing (MSIPS, EDF and manufacturing clusters)	6.94	7.5	6.77	7.12	5.17
R&D in IT/Electronics/CCBT	8.77	11.48	11.83	12.49	5.58
Capacity building and skill development scheme	4.34	5.37	5.37	5.75	7.08

Information Technology (MeitY) received a 48% budget increase for FY26, rising to ₹260.26 billion from ₹219.37 billion. The enhanced allocation strengthens key initiatives, including the ₹20 billion IndiaAI Mission and expanded schemes for semiconductor development and large-scale electronics manufacturing.

Allocation of ₹70 billion for semiconductors

MeitY’s semiconductor development budget surged by 83% to ₹70 billion. The ‘Modified Scheme for Setting Up Semiconductor Fabs’ saw a 56% increase, rising to ₹39 billion from ₹25 billion in FY24, while funding for establishing semiconductor fabs in India doubled to ₹24.99 billion from ₹12 billion. The design-linked-incentive (DLI) scheme received ₹2 billion.

Industry experts stress the urgency for India to develop its own semiconductor intellectual property and products, particularly amid global geopolitical shifts and US sanctions.

More funding for mobile PLI scheme, but components?

The PLI scheme for mobile phone manufacturing saw a 45% boost, raising allocations to ₹88.85 billion for FY26. This will drive Apple, Samsung, and Dixon to expand manufacturing, with smartphone exports projected to hit ₹1.70

trillion—up 31% from FY24.

IT hardware PLI also saw a staggering 283% increase to ₹1.15 billion, strengthening India’s tech manufacturing clusters for laptops, tablets, and servers.

However, concerns persist over the lack of clarity on ISM 2.0 (incentives beyond \$10 billion) and the absence of a PLI scheme for component manufacturing.

Taxation eased for individuals

The Budget introduced a 25% presumptive tax for non-residents providing services in this sector, along with a safe harbour provision to ensure tax certainty for those storing components for specified manufacturing units.

A multi-year approach to Transfer Pricing was proposed to stabilise cross-border transactions, allowing arm’s length price (ALP) determinations to span three years—reducing administrative burdens and ensuring compliance consistency. Taxation reforms also include rationalising TDS and TCS rates to simplify compliance and address taxpayer concerns.

Another key relief—residents earning up to ₹1.2 million annually will pay no income tax under the new regime, thanks to enhanced rebates. According to an ICEA report, this is expected to boost disposable incomes, drive domestic consumption, and fuel demand for electronics.